

REWRITING THE VC PLAYBOOK

As millennials gain influence in venture capital, India's investment playbook is shifting from global imitation to homegrown innovation in AI, deep tech and strategic technologies

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TO THE FIRST generation of Indian venture capitalists (VCs), global playbooks offered the clearest reference points to start-ups they replicated at home—in ecommerce, food delivery, ride sharing, or for that matter, in any consumer internet category.

Those investors also put great store by the pedigree of start-up founders; to them, someone with an IIT or IIM degree was special.

All that is changing, as are the requirements of the VCs themselves, who now, more than ever, need to assess unfolding technological innovations with acumen and foresight.

Past generations of VCs looked

overseas for concepts that had scaled and could be adapted to the Indian market, be it ridership giant Uber or online retailer Amazon.

The underlying logic was replication, localisation and scale in a rapidly expanding digital market.

In contrast, as millennials and investors in their 30s gain influence in VC firms and angel networks, they are not looking at what has worked elsewhere and can be brought to India. They are instead focusing on what can be built in India without a global template. They are expanding the definition of venture investing itself.

At the moment, capital is flowing towards AI, deeptech, advanced manufacturing and strategic

THE NEW INVESTORS

- ▶ India's VC playbook is changing from replicating global models to backing homegrown innovation
- ▶ A new generation of investors is increasingly backing foundational technologies and companies that originate in India, not adapt to it
- ▶ Elite credentials like IITs and IIMs are becoming less dominant signals, expanding the definition of "credible" founders
- ▶ As AI becomes foundational, VC judgment is shifting from market intuition alone to technical evaluation
- ▶ Venture funding is becoming more distributed, creator-led, and India-specific in structure and flow